was derailed by the Asian financial crisis of 1997–1999, and since then, its assessment of capital controls has been mixed.[69]

In the aftermath of the global financial crisis, it is obvious to most observers that the BRICS countries mitigated their experience of the crisis through utilizing capital controls. Nonetheless, the BRICS' executive directors at the IMF worried about a return to the capital account liberalization debates, especially in advance of the G20 summit in 2011, to be hosted by conservative French President Nicolas Sarkozy, and coordinated among themselves and with other emerging economies through the Group of 24 (G24).[70]

Overall, the BRICS governments have had solid success in reframing capital controls as a legitimate policy option for IMF members—an outcome related to their pivotal role in the G20 and the large financial contributions that they have made in support of the IMF's European rescue programs. As Kevin Gallagher shows, the push by the BRICS and other emerging economies tipped already-divided opinion within the IMF toward a preference for supporting limited capital controls on both financial inflows and outflows.[71] The result is that the IMF debates capital controls more openly than in the past.[72] Moreover, as Russia's recent experience shows, the BRICS desire the flexibility to set policies as they see fit given their particular circumstances. Thus, during the 2014–2015 crisis, Russia relied on a flexible currency and administrative tools, rather than strict capital controls, to restrict the movement of capital. Russia's net capital outflow, which reached a record $152.1 billion in 2014 and slowed to $57.5 billion in 2015, declined to $10.6 billion in the first half of 2016.[73] Another policy tension within the IMF has concerned identifying the root causes of "global imbalances." These imbalances refer to persistent national merchandise trade surpluses, such as those of China and Germany, or trade deficits, as in the United States and southern Europe. The discussion has also addressed alleged exchange rate manipulation in the interests of achieving a supposedly unfair trade advantage and the spillovers that could result from loose monetary policy. The major protagonists in this competition of interpretations have been the United States and China. The U.S. position in this debate has been that China has kept its currency deliberately undervalued against the U.S. dollar in order to promote the country's exports and sustain its rapid economic growth.[74] In another variant, China's abnormally high public savings get invested in dollar-denominated assets (most visibly U.S. Treasury